

Brackenridge Civil Group Inc

www.brackenridgecivil.com

July 5, 2001

Ms. Debra Vasquez, VP Finance

Esparza-Lamb

Re: Site Grading Design, Esparza-Lamb Site

Dear Ms. Vasquez:

Thank you for the opportunity to submit this letter of agreement for site grading design services in connection with the Esparza-Lamb development. This letter sets out the scope of our services, the fee, the schedule, and the terms under which this firm proposes to perform the work. Upon your countersignature it will constitute the agreement between Esparza-Lamb and Brackenridge Civil Group Inc.

Scope of Services

This firm will prepare a site grading design for the property in a form suitable for submittal to the reviewing agency and for construction. The work includes review of the topographic survey and the geotechnical information furnished by the Client; establishment of finished floor and pavement elevations; design of the grading plan, including cut and fill limits, slopes, and spot elevations at pavement, walks, and building perimeters; preparation of an earthwork quantity estimate for the graded condition; design of the stormwater conveyance necessary to serve the graded site, with supporting computations; preparation of an erosion and sediment control plan and details; and coordination of the grading design with the utility layout at those points where the two govern one another.

The work product will be a sealed plan set, together with the drainage computations and the earthwork estimate. This firm will prepare the submittal package and will respond to review comments from the reviewing agency through one review cycle. Field staking, construction observation, materials testing, boundary or topographic surveying, geotechnical investigation, permit fees, and the design of off-site improvements are not included in this scope, and this firm will not perform them except under a written amendment to this agreement.

Approach

We begin with the survey and the soils information and confirm that they agree with what is on the ground before any grading is drawn. Where they do not, we will contact you and identify what

additional information is required. The grading design then proceeds from the drainage. We establish the outfall and the conveyance first and fit the finished contours to them, rather than grade the site and afterward look for a place to send the water. Preliminary grading will be brought to you for review before the plan set is developed in detail, so that any change in the finished floor elevations or in the pavement layout is made at the point where it is still inexpensive to make. Interim prints are issued for review and are not for construction. Only the sealed set governs.

Project Team

I will serve as Principal Engineer on this project and will seal the drawings. Linda Nguyen, Design Technician, will prepare the grading and utility sheets and will assemble the plan set. Jason Jordan, Design Technician, will prepare the drainage computations and the erosion and sediment control design, and is responsible for the standards under which the set is produced. I am the point of contact for any question of scope, schedule, or fee, and correspondence on those subjects should be directed to me. On matters of drawing content you may contact Linda Nguyen or Jason Jordan directly, and I would ask only that this office be copied, so that the project file remains complete.

Fee

For the services described above this firm will perform the work for a lump sum fee of \$54,500. The fee includes ordinary reproduction, delivery, and telephone charges. Services outside the scope described above, including review cycles beyond the one provided, revisions arising from a change in the site plan after the preliminary grading has been accepted by the Client, and attendance at public hearings, will be performed only upon your written authorization and will be billed in addition to the lump sum fee at this firm's standard hourly rates then in effect.

Schedule

This firm is prepared to commence the work on July 15, 2001, subject to receipt of the countersigned agreement and of the topographic survey and the geotechnical report. We estimate approximately eight months from commencement to completion of the submittal and of our response to review comments. That estimate assumes the timely furnishing of information by the Client and does not include time consumed in agency review, which is outside this firm's control.

Fees and Payment

This firm will invoice monthly on the basis of the percentage of the work completed as of the invoice date. Invoices are due and payable within thirty (30) days. Amounts remaining unpaid after thirty (30) days will bear interest at the rate of one percent (1%) per month. Should any

invoice remain unpaid for sixty (60) days, this firm may, upon seven (7) days' written notice, suspend performance until the account is brought current, and this firm will not be responsible for any delay so occasioned.

Term and Termination

This agreement takes effect upon your countersignature and continues until the services described above are complete. Either party may terminate upon fourteen (14) days' written notice to the other. Upon termination the Client will pay this firm for services performed and expenses incurred through the effective date of termination. Documents prepared under this agreement and delivered prior to termination remain subject to its terms.

Confidentiality

This firm will hold in confidence the site information, financial information, and development plans furnished by the Client and identified as confidential, and will not disclose them to third parties except as required in the ordinary conduct of the work, including submittals to the reviewing agency, or as required by law. This obligation does not extend to information that is or becomes public through no act of this firm.

Limitation of Liability

This firm's services will be performed with the care and skill ordinarily exercised by civil engineers practicing under similar conditions in this locality at this time. No other warranty, express or implied, is made. To the fullest extent permitted by law, the total liability of this firm and of its employees to the Client for all claims arising out of this agreement, whether in contract, in tort, or otherwise, is limited to the amount of the lump sum fee stated above.

Governing Law

This agreement is governed by the laws of the state in which the project site is located. The parties will attempt in good faith to resolve any dispute arising under this agreement by negotiation between their principals before either commences an action.

This letter, together with the scope described above, constitutes the entire agreement between the parties on this subject and supersedes any prior discussion or proposal. If it correctly states our understanding, please sign both copies where indicated below, retain one for your file, and return the other to this office. We appreciate the confidence Esparza-Lamb has placed in this firm, and we will be glad to begin.

Very truly yours,

Mark Todd

Principal Engineer

Date: July 5, 2001

Debra Vasquez

VP Finance, Esparza-Lamb

Date: July 5, 2001